Guillaume OTTOLINI
09/03/2026

ASML

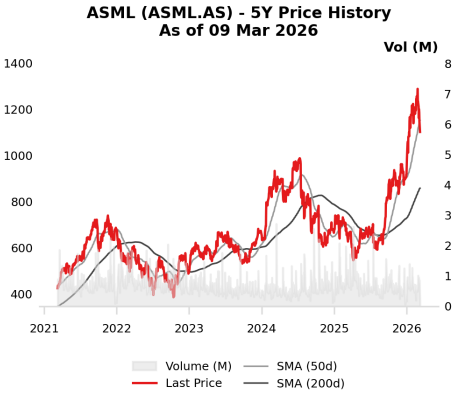
Sector GICS: Technology

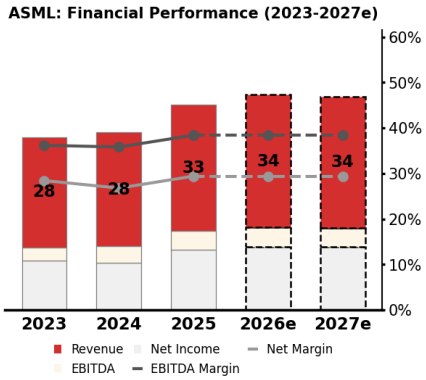
Ticker: ASML.AS

Price: 1101.60 €
YTD Perf.: +19.7%
Market Cap: 427.6 Bn €

HOLD

DCF Value: 371.12 € (-66.3%)
Consensus: 1450.0 € (+31.6%)





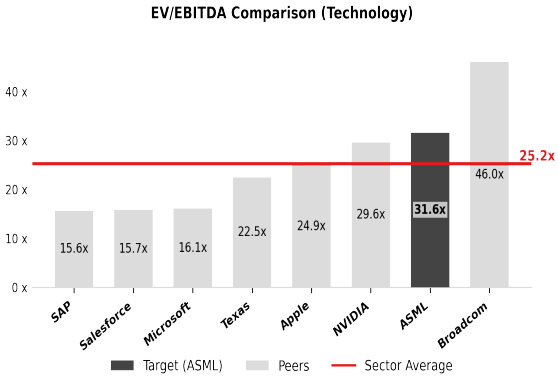
Company Overview:

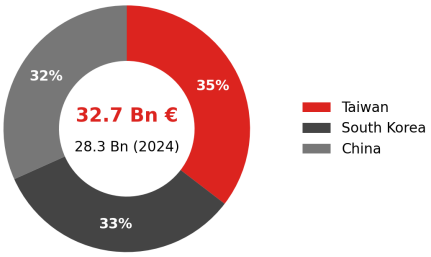
ASML Holding N.V. is the world's leading supplier of photolithography systems, holding a near-monopoly in extreme ultraviolet (EUV) lithography, a critical technology for manufacturing the most advanced semiconductor chips globally. The company's innovative solutions are indispensable for driving progress in computing, artificial intelligence, and various digital transformations. ASML's comprehensive offering to chipmakers is structured around two core business units, ensuring both cutting-edge equipment and sustained operational excellence for its clients.

1. Lithography Systems (77% of Rev): This unit is dedicated to the research, development, manufacturing, and sale of advanced lithography systems, encompassing both EUV and deep ultraviolet (DUV) platforms, which are fundamental for patterning intricate designs onto semiconductor wafers.

2. Installed Base Management (23% of Rev): This segment focuses on providing extensive service, performance upgrades, and essential spare parts for ASML's vast global installed base of lithography systems, thereby ensuring optimal operational efficiency and extending the productive lifespan of critical equipment for customers.

Financials (Bn €)	2023	2024	2025	2026e	2027e
Revenue	27.6	28.3	32.7	34.3	34.0
EBITDA	10.0	10.1	12.6	13.2	13.1
EBITDA Margin	36.2%	35.8%	38.4%	38.4%	38.4%
Net Income	7.8	7.6	9.6	10.1	10.0
EPS	20.59	19.24	24.71	25.92	25.74
Free Cash Flow	3.2	9.1	11.0	11.6	11.5
ROCE	38.2%	31.6%	43.0%	43.0%	43.0%
Net Debt / EBITDA	-0.2x	-0.8x	-0.7x	-0.7x	-0.7x
P/E Ratio	53.5x	57.3x	44.6x	42.5x	42.8x
Dividend Yield	0.6%	0.6%	0.6%	0.6%	0.6%





Investment Thesis:

ASML's business model is characterized by an exceptional technological moat, particularly its near-monopoly in EUV lithography, which creates formidable entry barriers due to immense R&D; costs and intellectual property. This unique position grants significant revenue visibility through long-term customer commitments and substantial order backlogs. The company consistently demonstrates robust gross margins, reflecting the high value and complexity of its systems. Furthermore, ASML exhibits strong free cash flow generation, underpinned by its critical role in the semiconductor ecosystem and the high demand for its indispensable technology, ensuring sustained financial health and reinvestment capacity.

The macro environment for ASML remains favorable, driven by secular tailwinds in digitalization, IoT, and the accelerating demand for AI-specific hardware, which necessitates advanced chip manufacturing. ASML's competitive positioning is unparalleled, with its EUV technology being essential for leading-edge chip production, effectively making it a bottleneck for the entire industry. The company's long-term strategy focuses on continuous innovation, expanding its product portfolio with High-NA EUV, and increasing manufacturing capacity to meet future demand, solidifying its market leadership and enabling the next generation of semiconductor advancements.

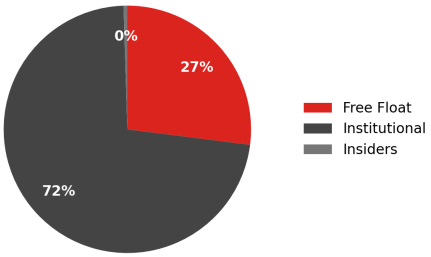
ASML's stock has demonstrated strong momentum, with a **Year-to-Date (YTD) performance of +19.7%** as of 09 Mar 2026, reflecting investor confidence in its long-term prospects. The company currently commands a substantial **Market Capitalization of 427.6 Bn €**. Recent positive news, including robust order intake and strong financial results from its latest annual report, underscore its operational strength. Upcoming catalysts include the ramp-up of High-NA EUV systems, increased global fab spending driven by government incentives, and the sustained demand for advanced chips from AI and high-performance computing, which are expected to further bolster its market position.

Our proprietary Discounted Cash Flow (DCF) analysis, utilizing a WACC of **11.9%**, a short-term growth of **4.9%**, and a terminal growth rate of **3.0%**, yields an intrinsic value of **371.12 €**. This suggests the stock is currently **overvalued**, with a potential downside of **-66.3%** from its current price of **1101.60 €**. However, the analyst consensus target price stands at **1450.0 €**, implying a potential upside of **+31.6%**. This divergence indicates the market is assigning a significant "growth premium" to ASML, driven by its exceptional technological moat and critical role in the future of AI and advanced computing, which our conservative DCF model may not fully capture.

Executive Management:

Christophe Fouquet	CEO
Roger Dassen	CFO
Jos Benschop	CTO

Shareholding Structure
As of 09 Mar 2026



Top 6 Shareholders:

Vanguard Group Inc.	3.9%
BlackRock Inc.	3.7%
Capital Research Global Inve..	2.8%
T. Rowe Price Associates Inc..	1.9%
Norges Bank Investment Manag..	1.7%
Fidelity Management & Resear..	1.2%

Key Risks:

- **Geopolitical Tensions:** Escalating trade restrictions and export controls, particularly between the US and China, could significantly impact ASML's sales and market access.
- **Semiconductor Cycle:** A prolonged downturn in the global semiconductor industry could lead to reduced capital expenditure from customers, affecting ASML's order intake and revenue.
- **R&D; Execution:** Failure to successfully develop and commercialize next-generation lithography technologies could erode ASML's competitive advantage over time.
- **Supply Chain Disruptions:** Reliance on a complex global supply chain makes ASML vulnerable to disruptions from natural disasters, pandemics, or geopolitical events.
- **Regulatory Scrutiny:** Increased government oversight and potential antitrust investigations in key markets could impose operational restrictions or financial penalties.

Sources:

Annual Report ASML.AS (FY2025)
Analyst Consensus (Bloomberg / LSEG Data)
Market Financial Data (Yahoo Finance API)
Qualitative AI Synthesis (Proprietary Model)

Disclaimer: This document is automatically generated as part of an academic finance project.
It is provided for strictly informational and educational purposes and does not constitute investment advice.
Market data and estimates may contain errors. The author declines any financial responsibility.